

Redbrook Specialty - Concert Questions and Responses

1. Need clarification on the definition of coverage in the submission. It states that the policy does not cover “the shared cell”, yet there is a \$100,000 sublimit for the “share of master policy / building deductible”. Please could this be clarified? What is the policy form language for the \$100k sublimit provided?

Assessments coverage is the only part of the policy that could potentially respond to costs involving areas outside the unit. It does not directly insure the shared shell or common areas. Instead, it covers the insured’s share of a qualifying assessment.

There are several requirements to trigger assessments coverage, primarily that the assessment stems from a peril also insured under the HO6 policy. It is triggered for the deductible portion of the master policy or where the master-policy limits are insufficient, whether for property or liability.

Redbrook plans to beat industry results for this coverage by reviewing the master policy for limit adequacy and deductible appropriateness, along with the association’s financials. Florida requires at least \$2,000 of assessments coverage for HO6 policies. If the association has adequate coverage and reserves, we can offer higher limits. If the association’s coverage is inadequate or its reserves are low, we will cap the assessment limit at a lower amount, probably around \$5,000 or \$10,000 in certain scenarios. We have not seen competitors perform this level of investigation into the likelihood and severity of a potential assessments claim.

We are currently reviewing the first draft of the assessment form and will provide the proposed policy language in short order.

2. I’m trying to calculate the max limit that could apply to a single loss. From the coverage section breakdown in the submission, it looks as though it is \$1.5m max for coverages A+C. Coverage D is no more than 100% of C (which could be max \$1m), so that’s another \$1m. Plus assessments of \$100k. I am ignoring liability for now as I am assuming that those limits won’t be eroded in the same loss. Is the max property limit \$2.6m? If so, that is what we would have to base the aggregate caps on. The average property limit stated elsewhere in the submission is only \$180k, so this difference would be an inefficient way to construct the program. Can we discuss capping the max limit per unit?

Yes, the calculation is correct. The \$2.6 million represents the technical maximum loss if the full \$1.5 million A+C limit, \$1 million Coverage D limit, and \$100,000 assessment limit were all exhausted by the same occurrence.

However, that would be an extreme outlier and is not representative of the portfolio we expect to write. A policy at the \$1.5 million A+C maximum would be around the 99.6th percentile of the available market. Many risks at that level would be unlikely even to quote or bind with Redbrook because they would be better suited to high-net-worth carriers such as Chubb or PURE.

For aggregate-capacity purposes, we believe it is more meaningful to compare the average with the expected distribution of limits:

- 75th percentile: approximately \$310,000, or 1.7 times the \$180,000 average
- 90th percentile: approximately \$460,000, or 2.6 times the average
- 95th percentile: approximately \$615,000, or 3.4 times the average

We would still be willing to entertain lower maximum limits if that makes the capacity structure more efficient. At a certain threshold, we would expect the risk to be referred internally for additional underwriting review to ensure that the unit, insured, building, and overall exposure are appropriate.

Our objective is to maintain sufficient limit authority so that Redbrook can become the first and ideally only stop for agents placing middle-market and mass-affluent mid-rise and high-rise unit owners. We would prefer not to create an unnecessarily low ceiling that forces an otherwise attractive risk into another market, but we are flexible on the ultimate maximum and referral thresholds based on the capacity structure.

3. In their research, Redbrook found that the HO-6 market has achieved much higher rate increases than HO-3 and HO-4. I assume these stats are iro admitted business. Please confirm. I'm asking in case we do go down the non-admitted route and would like to know whether there is any data to back up similar claims for the non-admitted market?

Correct, the data is from the admitted market. A majority of HO6 risks are written in the admitted market.

We would expect non-admitted rate levels to be higher due to market dynamics, but comparable E&S pricing data is proprietary to carriers and not readily available. We are referring to the underlying rate level, not necessarily higher rate increases or premium growth.

E&S is an intriguing option for the program if the recent deregulation permits the proposed structure, particularly because of the ability to adjust rates based on aggregation. For example, if we already insure 20 units in a 60-unit building, the first 20 might be priced to an 85% target combined ratio, units 21 through 25 to 80%, units 26 through 30 to 75%, and so on. The result would be outsized margins to account for the marginal increase in aggregation.

4. It is worth an additional discussion to talk through Redbrook's plan to offer broad coverage, such as full coverage for water losses. This makes me nervous when related to ground / 1st floor units.

This is where milestone reports, engineering and inspection data, association records, and building claims history will give us an outsized advantage in the market. Together, they should provide an inside view into the quality of the plumbing and its likely remaining useful life.

We also expect to pull ISO claims history data for the entire building, where available, and compare its historical water-loss frequency with the broader market. We are still determining whether that information should be used as a rating element, an underwriting element, or both. Unit floor would also be considered in pricing and underwriting.

A carrier willing to take the actuarial view that "there is a right price for everything" is important to the own-the-vertical strategy. That does not mean writing every risk. We will still make smart underwriting decisions, and at a certain point the indicated price becomes an affordability question for the applicant.

If a building has subpar plumbing or elevated historical water-loss frequency, we could increase the price, impose a water sublimit, restrict the number of units eligible for coverage, or decline the building entirely.

Most of our competitors begin with a \$10,000 water limit but allow the customer to buy back full coverage. Our rating plan will give us similar optionality. We can build it to offer anything from a complete exclusion to full coverage.

5. The list of insureds Redbrook would like to sell to includes: full-time owners, seasonal owners, long-term rentals, vacation / short-term rentals and “condotels”. The rentals (especially the short-term rentals) and the condotels strike me as fundamentally different risks to the owner occupied, or seasonal owner insureds. Does Redbrook have any thoughts on this? This topic might be more easily discussed when we meet in person.

We expect a majority of our policyholders to be full-time or seasonal residents. Offering coverage across occupancy types is part of the own-the-vertical strategy.

We agree that long-term rentals, short-term rentals, and condotels are different risks, but they are not necessarily worse across every coverage component. Rental units will generally have much lower contents limits because Coverage C applies only to the owner’s appliances, furnishings, supplies, and other landlord-owned property. Coverage A limits for additions and alterations may also be lower. Those lower property limits can partially offset the additional frequency or operational risk.

Seasonal occupancy would permit incidental, non-compensated use by friends and family. If the unit is rented for compensation on a short-term basis, it would be written under the short-term rental form rather than the seasonal form. Long-term rentals and condotels would likewise be separately classified and priced.

The less favorable occupancies would command a higher premium and higher margin. The price would be high enough that some applicants may self-select out of those less desirable occupancy classes.

6. I couldn’t work out whether Redbrook are still in the market for funding, or whether they have secured the \$3m from SAFE that they describe in the submission?

Conor’s sale of BriteCo equity will fund part or all of the seed round. At present, we are leaving the round open for a potential value-add investor.

Redbrook believes carrier participation, while not mandatory, could align incentives around the long-term success of the program. Each entity would have a vested interest in both growth and underwriting results. Investors with deep ties to agents, realtors, mortgage brokers, and property managers would also add value and aid in growth.

Conor’s conviction is strong enough that he would fund the entire round, but the preferred route is to bring in investors who add significant value to the enterprise and then fund the difference between those contributions and the \$3 million target.

7. How much of the quote and bind process is automated? As this product has been designed to be efficient for the agent to sell and the insured to use, I imagine it should be completely automated. However, Redbrook talk about the underwriter reviewing materials, especially the SB-4D filing and engineering reports. Please could we have a more definitive description of how each quote is handled, including the first quote in any condo building which will require more work than the subsequent quotes for units in that same building?

Correct, the quote-to-bind process will be quick and seamless. The guidelines will require review of the relevant documents as a condition of policy issuance.

The first policyholder in a building may remain in binder status for a few days while Redbrook gathers and analyzes the required documentation. If the building fails to meet our guidelines, we would determine how to handle that policyholder based on the risk, program goals, and the need to protect the brand. That could mean voidance, cancellation, or nonrenewal, depending on the circumstances. For example, an \$800,000 policy in a building with major plumbing issues would likely result in a 10- to 30-day cancellation.

Once the first policyholder is in the door and the documentation has been analyzed, the back end would recognize the address as pass or fail and immediately issue subsequent policies or deny the application.

The review process will include milestone and inspection reports, Secretary of State filings, association reserves, master-policy information, and the building's total claims history. We would quantify this data to the extent practical and assign the building a red, yellow, or green light, at least initially.

Over time, as we collect loss data, we could turn this information into an underwriting score that measures building quality on a more granular basis.